

SiyaBusa ERP

SAFE AGREEMENT TEMPLATE

Investor & Partner Documentation

Masaphokati Technologies (Pty) Ltd

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Effective Date: January 2026

Department: Executive

Classification: Confidential

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LEGAL AGREEMENT TEMPLATE

The legal agreement template for the SAFE investment, outlining the terms and conditions for early-stage investors.

SAFE AGREEMENT

(Simple Agreement for Future Equity)

THIS INSTRUMENT AND THE SECURITIES ISSUABLE UPON CONVERSION HEREOF HAVE NOT BEEN REGISTERED UNDER ANY SECURITIES LEGISLATION AND MAY NOT BE OFFERED, SOLD, OR OTHERWISE TRANSFERRED EXCEPT IN COMPLIANCE WITH APPLICABLE SECURITIES LAWS.

SAFE

(Simple Agreement for Future Equity)

This SAFE (this "Agreement") is entered into as of _____ (the "Effective Date")

BY AND BETWEEN:

1. THE COMPANY:

- **Name:** SiyaBusa ERP (Pty) Ltd (to be incorporated / Registration No: _____)
- **Address:** _____
- **Represented by:** _____ (Founder/Director)

(hereinafter referred to as the "**Company**")

AND

2. THE INVESTOR:

- **Name:** _____
- **ID/Registration Number:** _____
- **Address:** _____
- **Email:** _____

(hereinafter referred to as the "**Investor**")

(The Company and the Investor are hereinafter collectively referred to as the "**Parties**")

RECITALS

WHEREAS:

- A. The Company is a South African private company engaged in the business of developing and commercializing enterprise resource planning (ERP) software under the brand name "SiyaBusa ERP";
- B. The Investor desires to provide funding to the Company in exchange for the right to receive equity securities of the Company upon the occurrence of certain events, subject to the terms and conditions set forth herein;
- C. The Parties wish to record the terms and conditions governing this investment.

NOW THEREFORE, in consideration of the mutual promises and covenants contained herein, and for other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the Parties agree as follows:

1. DEFINITIONS

1.1 In this Agreement, unless the context indicates otherwise:

"Capital Stock" means the ordinary shares of the Company, and includes any future class of shares;

"Conversion Event" means either: (a) an Equity Financing; (b) a Liquidity Event; or (c) a Dissolution Event;

"Conversion Price" means either: (a) the Safe Price; or (b) the Discount Price, whichever results in a greater number of shares for the Investor;

"Discount Price" means the price per share equal to the Equity Financing Price multiplied by the Discount Rate;

"Discount Rate" means **80%** (representing a **20% discount**);

"Dissolution Event" means: (a) a voluntary termination of operations; (b) a general assignment for the benefit of the Company's creditors; or (c) any other liquidation, dissolution, or winding up of the Company (excluding a Liquidity Event);

"Equity Financing" means a bona fide transaction or series of transactions with the principal purpose of raising capital, pursuant to which the Company issues and sells shares at a fixed valuation, including but not limited to, a Series A or similar financing round, resulting in aggregate gross proceeds to the Company of at least **R5,000,000** (Five Million Rand);

"Equity Financing Price" means the price per share paid by investors in the Equity Financing;

"Investment Amount" means **R_____** (_____ Rand);

"Liquidity Event" means: (a) a Change of Control (as defined below); or (b) an Initial Public Offering (IPO);

"Change of Control" means: (a) a merger, consolidation, or other corporate reorganization in which the Company's shareholders immediately before the transaction own less than 50% of the voting power after the transaction; (b) a sale of all or substantially all of the Company's assets; or (c) a sale of shares resulting in a change of more than 50% voting control;

"Pro Rata Rights Agreement" means an agreement providing the Investor the right to participate in future financing rounds;

"Safe Price" means the price per share equal to the Valuation Cap divided by the Company Capitalization;

"Company Capitalization" means all issued and outstanding shares of Capital Stock, assuming exercise or conversion of all outstanding options, warrants, and convertible securities (including all SAFEs), but excluding shares reserved for future issuance under equity incentive plans not yet granted;

"Valuation Cap" means **R15,000,000** (Fifteen Million Rand);

2. INVESTMENT

2.1 Investment Amount

The Investor agrees to invest the Investment Amount in the Company, and the Company agrees to accept such investment, subject to the terms of this Agreement.

2.2 Payment

The Investment Amount shall be paid by the Investor to the Company within **ten (10) business days** of the Effective Date, by electronic funds transfer to the following account:

- **Bank:** _____
- **Account Name:** SiyaBusa ERP (Pty) Ltd
- **Account Number:** _____
- **Branch Code:** _____
- **Reference:** SAFE-[Investor Name]-2026

2.3 Use of Funds

The Company shall use the Investment Amount substantially in accordance with the budget presented to the Investor, which includes:

- Infrastructure and operations
 - Marketing and customer acquisition
 - Team and operations
 - Reserve and contingency
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3. CONVERSION

3.1 Equity Financing Conversion

Upon the closing of an Equity Financing:

- (a) This Agreement shall automatically convert into shares of the same class issued in the Equity Financing;
- (b) The number of shares issued shall equal the Investment Amount divided by the Conversion Price;
- (c) The Investor shall execute any documents required to effect such conversion.

3.2 Liquidity Event Conversion

Upon a Liquidity Event:

- (a) If the Liquidity Event occurs before an Equity Financing, the Investor shall receive, at the Investor's election:
 - (i) Cash payment equal to the Investment Amount; OR
 - (ii) A number of shares of Capital Stock equal to the Investment Amount divided by the Safe Price, immediately prior to the Liquidity Event.
- (b) If the Investor elects shares, such shares shall be issued immediately prior to the Liquidity Event and shall participate in the proceeds of the Liquidity Event.

3.3 Dissolution Event

Upon a Dissolution Event:

- (a) The Company shall pay the Investor an amount equal to the Investment Amount from the Company's remaining assets;
 - (b) Such payment shall be made before any distribution to ordinary shareholders but after payment of the Company's debts and obligations;
 - (c) If the Company's assets are insufficient, payment shall be made pro rata among SAFE holders and other creditors of similar priority.
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4. INVESTOR RIGHTS

4.1 Information Rights

The Company shall provide the Investor with:

- (a) Monthly management accounts within **fifteen (15) days** of each month end;
- (b) Annual audited financial statements within **ninety (90) days** of the financial year end;

(c) Notice of any material developments affecting the business within **seven (7) days** of such occurrence.

4.2 Pro Rata Rights

The Investor shall have the right, but not the obligation, to participate in subsequent Equity Financings on a pro rata basis to maintain the Investor's percentage ownership of the Company.

4.3 Board Observer Rights

The Investor shall have the right to appoint one (1) observer to attend meetings of the Company's board of directors in a non-voting capacity, subject to reasonable confidentiality requirements.

4.4 Most Favored Nation

If the Company issues any other SAFE with terms more favorable to that investor, the Company shall promptly notify the Investor and provide the option to amend this Agreement to include such more favorable terms.

5. COMPANY REPRESENTATIONS AND WARRANTIES

5.1 The Company represents and warrants to the Investor that:

- (a) **Organization:** The Company is duly incorporated and validly existing under the laws of the Republic of South Africa;
- (b) **Authorization:** The Company has full power and authority to execute and deliver this Agreement and to perform its obligations hereunder;
- (c) **No Conflicts:** The execution and delivery of this Agreement does not violate any law, regulation, court order, or agreement to which the Company is bound;
- (d) **Intellectual Property:** The Company owns or has valid rights to use all intellectual property necessary for its business;
- (e) **No Litigation:** There is no material litigation, arbitration, or regulatory action pending or threatened against the Company;
- (f) **Financial Condition:** The information provided to the Investor regarding the Company's financial condition is accurate and complete in all material respects;
- (g) **Compliance:** The Company complies with all applicable laws and regulations in all material respects.

6. INVESTOR REPRESENTATIONS AND WARRANTIES

6.1 The Investor represents and warrants to the Company that:

(a) **Authority:** The Investor has full power and authority to execute this Agreement and perform obligations hereunder;

(b) **Investment Purpose:** The Investor is acquiring this SAFE for investment purposes only and not with a view to distribution;

(c) **Accredited/Sophisticated Investor:** The Investor is a sophisticated investor capable of evaluating the risks of this investment;

(d) **Risk Acknowledgment:** The Investor understands and acknowledges that:

- This is a high-risk investment
- The Company is pre-revenue and may never achieve profitability
- There is no guaranteed return on investment
- The entire Investment Amount may be lost
- There is no established market for the securities

(e) **Independent Advice:** The Investor has had the opportunity to obtain independent legal, financial, and tax advice regarding this investment;

(f) **Source of Funds:** The Investment Amount represents lawfully obtained funds and this investment does not violate any anti-money laundering laws.

7. EXIT SCENARIOS AND INVESTOR RETURNS

7.1 Understanding of Exit

The Parties acknowledge that the Investor's return on investment depends on a future exit event. The Company makes no guarantee that any exit will occur.

7.2 Illustrative Exit Scenarios

For clarity, the following illustrative scenarios demonstrate potential outcomes (these are examples only, not guarantees):

Scenario	Company Valuation	Investor Ownership*	Investor Value
Acquisition	R100,000,000	19%	R19,000,000
IPO	R200,000,000	19%	R38,000,000
Series A Only	R50,000,000	19%	R9,500,000 (paper)
Company Fails	R0	N/A	R0 (total loss)

*Assuming no dilution from subsequent funding rounds

7.3 Exit Timeline

The Parties acknowledge that:

- (a) There is no guaranteed timeline for an exit event;
 - (b) Typical startup exits occur within **5-10 years** of initial investment;
 - (c) The Company will use reasonable commercial efforts to pursue value-creating opportunities, which may include strategic acquisition, public listing, or other liquidity events.
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8. TERMINATION

8.1 This Agreement shall terminate upon the earliest of:

- (a) The issuance of shares to the Investor pursuant to Section 3;
 - (b) The payment of amounts due to the Investor pursuant to Section 3.2 or 3.3;
 - (c) Mutual written agreement of the Parties.
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9. CONFIDENTIALITY

9.1 Each Party agrees to keep confidential all non-public information received from the other Party, except:

- (a) Information that becomes publicly available through no fault of the receiving Party;
 - (b) Information that was already known to the receiving Party;
 - (c) Disclosure required by law or court order;
 - (d) Disclosure to professional advisors bound by confidentiality obligations.
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10. GENERAL PROVISIONS

10.1 Governing Law

This Agreement shall be governed by and construed in accordance with the laws of the Republic of South Africa.

10.2 Dispute Resolution

Any dispute arising out of or in connection with this Agreement shall be resolved as follows:

- (a) The Parties shall first attempt to resolve the dispute through good faith negotiation;
- (b) If negotiation fails within **thirty (30) days**, the dispute shall be referred to mediation;

(c) If mediation fails within **sixty (60) days**, either Party may refer the dispute to arbitration in accordance with the rules of the Arbitration Foundation of Southern Africa (AFSA).

10.3 Entire Agreement

This Agreement constitutes the entire agreement between the Parties with respect to the subject matter hereof and supersedes all prior negotiations, representations, and agreements.

10.4 Amendment

This Agreement may only be amended by a written instrument signed by both Parties.

10.5 Assignment

Neither Party may assign this Agreement without the prior written consent of the other Party, except that the Company may assign this Agreement in connection with a Change of Control.

10.6 Notices

All notices under this Agreement shall be in writing and delivered by email (with confirmation of receipt) or registered post to the addresses set forth above.

10.7 Severability

If any provision of this Agreement is held to be invalid or unenforceable, the remaining provisions shall continue in full force and effect.

10.8 No Partnership

Nothing in this Agreement creates a partnership, joint venture, or employment relationship between the Parties.

10.9 Counterparts

This Agreement may be executed in counterparts, each of which shall be deemed an original.

11. SIGNATURES

IN WITNESS WHEREOF, the Parties have executed this Agreement as of the Effective Date.

FOR THE COMPANY:

SiyaBusa ERP (Pty) Ltd

Signature:	_____
Name:	_____
Title:	Director
Date:	_____
Place:	_____

FOR THE INVESTOR:

Signature:	_____
Name:	_____
ID Number:	_____
Date:	_____
Place:	_____

WITNESSES:

Witness 1:

Signature:	_____
Name:	_____
ID Number:	_____

Witness 2:

Signature:	_____
Name:	_____
ID Number:	_____

SCHEDULE A: INVESTMENT DETAILS

Item	Detail
Investment Amount	R_____
Valuation Cap	R15,000,000
Discount Rate	20%
Effective Date	_____
Payment Due Date	_____

SCHEDULE B: USE OF FUNDS

Category	Amount	Percentage
Infrastructure & Operations	R816,000	28.6%
Marketing & Customer Acquisition	R1,080,000	37.9%
Operations & Team	R756,000	26.5%
Reserve & Contingency	R198,000	6.9%
TOTAL	R2,850,000	100%

LEGAL NOTICE

THIS DOCUMENT IS A TEMPLATE PROVIDED FOR INFORMATIONAL PURPOSES ONLY.

This template is based on the Y Combinator SAFE template, adapted for South African law. However:

1. This document has not been reviewed by a South African attorney for your specific situation
2. Investment agreements should always be reviewed by qualified legal counsel before execution
3. Tax implications should be discussed with a qualified tax advisor
4. The Company and Investor are each advised to seek independent legal advice

Recommended legal review:

- Company should consult a corporate attorney

- Investor should consult an independent attorney
 - Both parties should understand tax implications
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Template Version 1.0 / January 2026

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